NPCI/UPI/OC-228/2025-26 **8th October 2025**

To,

All Members - Unified Payments Interface (UPI), RuPay

Dear Sir/Madam,

Subject: Enhancements in UPI Single Block Multiple Debits (UPI Reserve Pay)

With reference to UPI operating circular NPCI/UPI/OC. No 200/2024-25 dated July 31, 2024, NPCI has introduced "UPI Single Block and Multiple Debits (henceforth to be referred as UPI Reserve Pay)". UPI Reserve Pay feature facilitates the customer to block the funds in the account for multiple debits which can be initiated by the customer on the merchant's platform, till the reserved funds gets exhausted or the block has been revoked or expired.

To further enrich the offerings to customers and merchants, this addendum aims to include applicability of UPI Reserve Pay to all UPI-permitted source of funds (including SA, CA, OD, RuPay Credit Card, pre-sanctioned Credit lines, etc.) for merchant segments. All prior released NPCI guidelines for UPI Reserve Pay shall continue to be applicable.

In addition to existing roles, responsibilities, and regulatory guidelines, members shall ensure adherence to the following requirements:

General guidelines applicable to all participating members:

1. Members shall adhere to RBI guidelines on 'Harmonization of Turn Around Time (TAT) and customer compensation for failed transactions using authorized Payment Systems' dated September 20, 2019, as amended from time to time.
2. Online Dispute Resolution (ODR) functionality shall be available for all such transactions.
3. Reconciliation process shall be as per the existing UPI guidelines. Purpose code 77 in the existing UPI raw file and a line item in the Net Settlement Report shall be available to identify these transactions and settlements respectively.
4. The customer shall be clearly advised the terms and conditions for UPI Reserve Pay by the merchant/ PA/ Acquirer before reservation of the funds.
5. The extant pricing of RuPay Credit Cards on UPI and pre-sanctioned Credit Line on UPI shall apply to successfully executed UPI Reserve Pay financial transactions as applicable.

Issuer Banks shall ensure

1. The reserve amount details is shown to the customer in the statement and other channels as applicable in due course.
2. Mandatory notifications in the form or SMS or email or other channels for block creation, modification, debit, revoke and expiry.
3. Only utilized amount debited after actual purchase to be considered for bill generation as applicable for credit accounts on UPI.
4. One mobile number (assumed as one customer) is allowed to create only one block at a time for the particular merchant.

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5. The block created to be maximum of Rs.10,000 of block limit and up to 90 days.

Acquiring entities - Obligations to be fulfilled by UPI Acquirer (PA/ PG/ Banks)

1. To begin with UPI Reserve Pay shall be enabled only for online verified merchants with low ticket and high frequency transactions and hence selection of the online merchants must adhere to this principle.
2. The block created shall not be treated as the guarantee of payment, only the successful debit response received by the merchant (for the debit initiated by the customer action on merchant's platform) shall be considered for payment.
3. For further clarification, the timeout on the debit transaction with Issuer/ Payer PSP shall be treated as a decline transaction and will be reversed in real-time and shall not be settled (not to be treated as deemed debit). Only for afore-mentioned scenarios, acquiring entities may retry maximum 3 times in 24 hours (no retries for any other declines).
4. The purchase action by the customer must result into instant debit request without any delay, and the delivery of goods and service should only be after the confirmation of successful debit to the Acquiring bank for categories such as quick commerce, food delivery, etc. For use cases wherein amount is not fixed and is determined based on the services consumed (e.g.: cab aggregators, EVs, etc.), merchant may debit post successful delivery of services.
5. Merchants and Acquiring entities shall ensure,
   a. UPI Reserve Pay feature to be facilitated through all certified UPI Apps.
   b. Allow user to enter the amount and select the end date as per their choice up to maximum of Rs.10,000 of block limit and up to 90 days.
   c. Easy access on merchant's platform to update and revoke along with the responsibility of issuer to validate every debit.
   d. The current block limits (unutilised) are always checked before initiating a debit.
   e. Display of original block value, remaining balance, expiry date and transaction history (including creation, debits, modification).

UPI Apps - Obligations to be fulfilled by authorised UPI Apps and their PSP Banks

1. Easy access to revoke the block.
2. Ensure standardised visibility for consolidated view of all active blocks, merchant specific display along with merchant name, original block value, remaining balance, expiry date and transaction history (including creation, debits, modification).

Members are advised to enable **UPI Reserve Pay to all UPI-permitted source of funds (including SA, CA, OD, RuPay Credit Card, pre-sanctioned Credit lines, etc.)**.

Yours Sincerely,

Sd/-

Sourabh Tomar

Head UPI Product